Company Registration No. 02448457 (England and Wales)

Mercedes-Benz

MERCEDES-BENZ CARS UK LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 31 DECEMBER 2021

MERCEDES-BENZ CARS UK LIMITED

COMPANY INFORMATION

Directors	M Breitschwerdt G Savage H Henn
Secretary	J Lipman
Company number	02448457
Registered office	Delaware Drive Tongwell Milton Keynes Buckinghamshire MK15 8BA
Auditor	KPMG LLP Challenge House Sherwood Drive Bletchley MK9 1BP

MERCEDES-BENZ CARS UK LIMITED

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MERCEDES-BENZ CARS UK LIMITED

STRATEGIC REPORT

FOR THE YEAR ENDED 31 DECEMBER 2021

The directors present the strategic report and financial statements for Mercedes-Benz Cars UK Limited (the "Company") for the year ended 31 December 2021.

Strategic Objectives

The automotive industry is currently in the middle of a significant transformation transformation. Moreover, the world as a whole is changing at an increasingly dynamic rate. Sustainability and, in particular, environmental and climate protection are among the most urgent issues of our time. Digitalisation and shifts in global trade are changing our business and our Company. We firmly believe that individual mobility will remain a basic human need, and it will have to be provided in an energy-saving, low-emission and environmentally compatible manner. As a Company, we also bear social responsibility. Not only do we face up to the challenges of the future; as the inventor of the automobile, we also want to set benchmarks for tomorrow's sustainable mobility.

In 2020, Mercedes-Benz Group (MBAG) presented Mercedes-Benz Cars strategy, our goal is to build the world's most desirable cars. We want to further increase our structural group profitability and take the lead in shaping the successful transformation to an emission-free and software-driven future. We want to focus on our core business and in doing so to highlight the customer experience even more strongly than before and utilise the potential of digitalisation. Sustainability, integrity and diversity serve as the foundation of our strategy. Everyone's actions are becoming increasingly important with regard to climate change.

Review of the business

2021 presented the Company with major challenges. The pandemic-related disruptions in the global supply chains led to noticeable supply bottlenecks for certain semi-conductor components, as a result of which the continued high-level of demand from customers could, despite great efforts, not entirely be met. However, the extraordinary commitment of the of Management, the executives, and all employees ensured a positive business development.

The overall car market remained flat at a 1% increase in registrations against 2020. The shift in Company strategy meant a decrease of 12% in registrations versus 2020, this is also seen in the market share dropping to 5.1% (2020: 6.9%).

The reduction in vehicle revenue resulted in a profit on ordinary activities before taxation for the year of £67,491,000 (2020: profit of £72,122,000).

During the year the Company paid an interim dividend of £nil (2020: £88,500,000), equivalent to £nil (2020: £1.77) per share. The directors do not recommend payment of any further dividends in relation to the year.

The directors expect the economic challenges in 2022 to prejudice the overall growth of the automotive industry. However, the Company continues to be confident in its ability to maintain and grow its profitability. The effects of inflation and increases in cost of living continues to influence consumer and business confidence and undoubtedly affects the market.

The Company's key performance indicators for the year are summarised below.

Wholesales (units)		**Registration (units)**		**Revenue (£m)**	
2021	**2020**	**2021**	**2020**	**2021**	**2020**
86,099	109,562	97,522	110,529	3,242	3,628

Financial risk management objectives and policies
Management are continuously assessing the Company and industry's exposure to risks, and have concluded that the below risks present the most danger to the Company and its ongoing operations.

Market risk

Crucial to the continued success of the automotive market is the development of Electric Vehicles (EV's) and the infrastructure needed to support these. With significant fines imposed for manufacturers missing their CO2 target, we are dependent on the Government and Charge Point Operators (CPO's) to increase the availability of charge points to enable our customers to make the change to electric. Management are constantly reviewing market trends, particularly in light of the Government's announcement of no Internal Combustion Engine (ICE) sales from 2030 onwards.

Additionally the full impact of the Coronavirus (Covid-19) on the world wide economies and supply chains are yet to be felt. Management are continuously assessing the impact on the Company and the industry as a whole, adapting where possible to the way the industry is changing. There will be an impact in 2021 on public spending confidence, however with the resources and support available, management feel the Company is well equipped to deal with this negative effect on the global industry.

Covid-19 has had an affect on the market, the Company has mitigated these effects by working closly with our supply chains to minimise disruption, and constantly review contingencies to ensure a smooth process.

Residual value risk

The Company is exposed to fluctuations in demand in the used car market, specifically changes in market values due to its involvement in sale and repurchase arrangements. The Company employs a specialist team to continually monitor market values, with a reporting line to the Chief Financial Officer. A committee meets on a quarterly basis to set guaranteed repurchase prices that are in line with expectations of market movements over the corresponding period. In addition the management of the Finance Department meet on a quarterly basis to understand any significant financial risk and ensure this is appropriately reflected in the financial statements.

Cash flow risk

The Company is not significantly exposed to changes in foreign currency exchange rates or fluctuating interest rates as it is a wholly owned subsidiary, financed entirely by its ultimate parent undertaking and does not make material sales or purchases in any currency other than Sterling.

Legal Risk

The most significant to us relates to the CO2 target which is already covered in the market risk, Other changes in legislation generally refer to extra reporting and are well signposted.

Competition risk

Market trends are continually being analysied, as well as significant worldwide research and development into our prodcuts ensuring they are on the cutting edge of technology.

Credit risk

The Company's principal financial assets are cash at bank and in hand and trade and other receivables. Credit risk is mitigated as the majority of vehicles are sold to another group company rather than directly to end customers. That company bears the credit risk on the sale to the ultimate customer.

Credit risk on direct sales of parts to the dealer network and vehicles to fleet customers is mitigated as exposure is spread over a large number of counterparties and customers, who are also subject to rigorous monitoring. The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by international credit-rating agencies.

Liquidity risk

The Company's exposure to liquidity risk is minimised as it is a wholly owned subsidiary, financed entirely by its ultimate parent undertaking.

Streamlined Energy and Carbon Report (SECR)

As a group, Mercedes-Benz AG (MBAG) assume responsibility for the economic, ecological and social effects of our business activity. As a founding member of the UN Global Compact, we are committed to the Compact's ten universal principles, the United Nations' Sustainable Development Goals and the Paris Agreement on climate change.

Sustainability is part of the foundation of our Mercedes-Benz strategy and thus an integral part of our corporate strategy. We want to create permanent value for our stakeholders: our customers, employees, investors, business partners and society as a whole. This requires a culture of integrity and future-oriented cooperation with our workforce and our partners in industry, government and society at large. Diversity is our driving force for ideas, renewal and inventiveness, all of which we actively strive to achieve. A central sustainability management system enables the effective planning of ambitious goals and their implementation.

UK energy use and associated greenhouse gas emissions

The Company presents its annual energy usage and associated annual greenhouse gas emissions pursuant to the Companies (Directors' Report) and Limited Liability Partnerships (Energy and Carbon Report) Regulations 2018 ("the 2018 Regulations") that came into force on 1 April 2019.

In the scope of this report is the office site in Milton Keynes, as well as Company owned vehicles and personal vehicles used for business mileage.

The energy and carbon emissions report is aligned to the financial reporting year of 1 January 2021 to 31 December 2021.

Quantification and reporting methodology

The 2019 UK Government Environmental Reporting Guidelines and the GHG Protocol Corporate Accounting and Reporting Standard (revised edition) were followed. The 2021 UK Government GHG Conversion Factors for Company Reporting were used in emission calculations.

Electricity and gas consumption were based on usage reports from our utility partners, while mileage reports were used to calculate energy and emissions from fleet vehicles and employee business mileage. Gross calorific values were used except for mileage energy calculations as per Government GHG Conversion Factors.

The emissions are divided into mandatory and voluntary emissions according to the 2018 Regulations, then further divided into the direct combustion of fuels and the operation of facilities (scope 1), indirect emissions from purchased electricity (scope 2) and further indirect emissions that occur as a consequence of company activities (scope 3).

Breakdown of energy consumption used to calculate emissions (kWh):

Energy Type	**2021 kWh**	**2020 kWh**
Gas	6,226,009	3,255,296
Electricity	4,390,579	4,653,460
Transport Fuel	932,889	1,210,243
	11,549,477	**9,118,998**

Breakdown of emissions associated with reported energy use:

Emission Source		**2021 tCO2e**	**2020 tCO2e**
Scope 2	Gas	1,322	599
Scope 2	Transport – company vehicles	195	236
Scope 2	Electricity	932	1,085
Scope 3	Business trip – transport fuel	28	62
		2,477	**1,982**

Intensity ratios:	**2021**	**2020**
Tonnes of CO2e per million pounds of turnover	0.76	0.52
Tonnes of CO2e per employee	5.61	4.05

Intensity ratio
The intensity ratios are total gross emissions of CO2e (metric tonnes) per million pound (£m) turnover and per employee. These financial metrics are considered relevant to the Company's energy consuming activities and provide a good comparison of performance over time and across different organisations and sectors.

Energy-efficiency action during the current financial year
The impact of the Company on the environment, and its carbon footprint, are important issues to the Company and its management. Energy awareness is continuously promoted across the Company to ensure best wise use of resources, and improvements in processes and equipment are constantly undertaken where gains in efficiency can be won.

Energy efficiency plans for the future periods
The Company is actively assessing the sources of its energy, the potential to use more renewable energy in its operations, and the potential to generate renewable energy on site. The fixed asset investment strategy for the future has energy efficiency at its core and we expect to see rapid and material improvements over the coming years. Since May 2021 fully electric vehicles are now available on the employee car scheme, while up take is dependent on availability this will add to the reduction in emissions.

Electricity and gas usage

The usage show above in this report is for the whole site in Milton Keynes, some of which is sub leased to group entities. For comparison split out on area the Mercedes Benz Cars usage would be as below:

	2021	**2020**
Energy Type	**kWh**	**kWh**
Gas	1,257,595	657,539
Electricity	886,855	939,955

Section 172 Statement

The revised UK Corporate Governance Code places several obligations on Company Directors. This includes the requirement for Directors to consider long-term effects of decisions made on a wide stakeholder group and the environment in which the company operates. On top of this, there is a clear requirement to consider the fair treatment of everyone associated with the Company.

Long Term Decisions

Naturally, the Directors take a long-term view in all their decision-making, and decisions are always made with the future goals of the Company in mind. As seen in the Mercedes-Benz Sustainability Report, the industry landscape is changing, and Directors decisions have to take into account the United Nation's Sustainable Development Goals. These include ever-improving working and living conditions across the World, as prioritising the electrification of our vehicles with a UK target to have a carbon-neutral passenger car fleet by 2030.

Culture

The Directors recognise that they have an important role in ensuring that the desired culture is reflected in the values, attitudes, and behaviours demonstrated throughout the Company. The Directors have established respect, passion, discipline and integrity as the four core values. Within the Company there are a number of colleague-led culture theme groups; Feedback, Career Development, Purpose, Sustainability Inclusion and Laureus. A large part of Mercedes-Benz's corporate social responsibility consists of supporting socially beneficial projects, one of which is the Laureus Sport for Good Foundation. Laureus aims to help young people living in some of the most deprived areas to change their lives and get into education, training or employment. Laureus *use the power of sport to reduce violence, discrimination and disadvantage.*

Sustainability

Sustainability is a crucial factor that the Directors recognise as influential in the worldwide corporate domain, particularly in the motor industry. This is driven by six key themes; Climate Protection & Air Quality, Resource Conservation, Liveable Cities, Traffic Safety, Data Responsibility, and Human Rights. The Company recognises three enablers for these themes, which focus on key stakeholder groups. Firstly, Integrity, which is achieved by strengthening trust and relationships by remaining compliant with laws and regulations. Secondly, People, the Company promotes diversity and equality as well as successfully allowing employees to address the challenges of a digital world. The final enabler is Partnerships, enabling a clear and reliable platform of communication, using what we call a 360° process, which takes internal and external expectations into account. On a more local stage, Team Sustainability Group, championed by the Company's CFO, has initiated the spread of sustainability awareness internally and identified what we as employees can do to reduce our carbon footprint and contribute to our global carbon neutral goals. The immediate result saw local head offices, owned retail sites and Parts Logistics warehouse achieve a carbon neutral gas supply in 2020. In addition, the electricity contract for those sites is sourced from 100% UK renewable energy. For more detail on the Company's position on sustainability, please visit the corporate website at: www.group.mercedes-benz.com/sustainability.

Stakeholders

The main stakeholders identified by the Company, and the measures we take to ensure they are treated fairly, can be seen below.

Stakeholder	**Why are they important**	**How we engage and consider their interests**
Customers	- Customers are at the core of what we do, customer satisfaction creates brand loyalty. - Staying informed on customer needs allows us to adapt our strategies to ensure we keep up to date in constantly changing industry.	We engage by; - Request and respond to feedback from the entire customer journey. - Communicating through our Customer Assistance Centre. - Through our online showroom and website
People	- Our colleagues are the primary reason for the ongoing success of our business.	We engage by; - Hosting Town Halls, including Q&A at the end for employees to express opinions or ask questions. - Cultural Immersion days. - Holding regular Company and team events. - Weekly communications sharing news across the Company. - Regular employee engagement surveys. - Offering employee assistance programs, including financial and mental wellbeing support. - Feedback Culture as part of our main leadership principles.
Community	- Our engagement with, and impact on, the communities we operate in can build or break brand reputation.	We engage by; - Working with our charity partners to increase awareness and lend assistance to pressing issues. - Support several schemes to allow employees the time and resources to help in their local communities. - Continually develop our sustainability initiatives to improve our global environmental footprint.
Government and regulators	- We are proactive with our engagement with regulators and government bodies to ensure we are abiding to guidelines.	We engage by; - Ensuring regulators and government bodies get adequate communication from relevant Company representatives. - Undergo relevant voluntary reviews and audits by industry bodies in order to keep certifications up to date.
Investors/Shareholders	- We rely on shareholder support in the wider group to allow the Company to achieve its long term goals.	We engage by; - Reporting local results, and factors affecting those results, through the wider group. - Ensuring value is achieved in projects and in ongoing operations.

On behalf of the board

.... Date: 15/12/2022

Dr Harald Henn
Director

The directors present the directors' report and financial statements for Mercedes-Benz Cars UK Limited for the year ended 31 December 2021.

Results and dividends
The results for the year are set out on page 14.

During the year the Company paid an interim dividend of nil (2020: £88,500,000), equivalent to nil (2020: £1.77) per share. The directors do not recommend payment of any further dividends in relation to the year.

Movements in shareholders' funds are set out in the Statement of Changes in Equity.

Directors
The directors who served during the year and up to the date of signing the financial statements, unless otherwise stated, were:

M Breitschwerdt
G Savage
H Henn

Qualifying third party indemnity provisions
The Company has made qualifying third party indemnity provisions for the benefit of its directors which were made during the year and remain in force at the reporting date.

Supplier payment policy
The Company's policy is to settle terms of payment with suppliers when agreeing the terms of each transaction, ensure that suppliers are made aware of the terms of payment and abide by the terms of payment. Details on the Company's payment practices can be found in its published payment practice reports available at https:// check-payment-practices.service.gov.uk

Post reporting date events
There are no significant post reporting date events to report.

Future developments
Future developments of the Company are discussed in the Strategic Report on page 1-3.

Customer Relationships
Details of relationships with customers are discussed in the Strategic Report on page 1-3

Statement of disclosure to auditor
Each director in office at the date of approval of this annual report confirms that:

- so far as the director is aware, there is no relevant audit information of which the company's auditor is unaware, and
- the director has taken all the steps that he / she ought to have taken as a director in order to make himself / herself aware of any relevant audit information and to establish that the company's auditor is aware of that information.

This confirmation is given and should be interpreted in accordance with the provisions of section 418 of the Companies Act 2006.

Independent auditor
Under section 487(2) of the Companies Act 2006, KPMG LLP will be deemed to have been reappointed as auditor 28 days after these financial statements were sent to members or 28 days after the latest date prescribed for filing the financial statements with the registrar, whichever is earlier.

On behalf of the board

....
Dr Harald Henn
Director
Date: 15/12/2022

MERCEDES-BENZ CARS UK LIMITED

DIRECTORS' RESPONSIBILITIES STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2021

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the company and to prevent and detect fraud and other irregularities.

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF MERCEDES-BENZ CARS UK LIMITED

Opinion

We have audited the financial statements of Mercedes-Benz Cars UK Limited ("the company") for the year ended 31 December 2021 which comprise the Income Statement, Statement of Financial Position, Statement of Changes in Equity and related notes, including the accounting policies in note 2.

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 December 2021 and of its profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS101 *Reduced Disclosure Framework* and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the company or to cease its operations, and as they have concluded that the company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the company's business model and analysed how those risks might affect the company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors and inspection of policy documentation as to the Company's high-level policies and procedures to prevent and detect fraud and the Company's channel for "whistleblowing", as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management/ directors/ sales staff.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, and taking into account possible pressures to meet profit and sales targets, we perform procedures to address the risk of management override of controls and the risk of fraudulent revenue recognition, in particular the risk that new or used vehicle revenue may be recorded in the wrong period and the risk that management may be in a position to make inappropriate accounting entries.

We did not identify any additional fraud risks.

In determining the audit procedures we took into account the results of our evaluation and testing of the operating effectiveness of the Company-wide fraud risk management controls.

We also performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual revenue combinations, unusual cash combinations, post-closing entries.
- Assessing significant accounting estimates for bias.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience and through discussion with the directors and the legal department (as required by auditing standards), and discussed with the directors and the legal department the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation, taxation legislation, and pension legislation and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or. We identified the following areas as those most likely to have such an effect: health and safety, anti-bribery, employment law, regulatory capital and liquidity, automotive regulation and certain aspects of company legislation. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and inspection of regulatory and legal correspondence, if any. Therefore, if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Strategic report and directors' report

The directors are responsible for the strategic report and the directors' report. Our opinion on the financial statements does not cover those reports and we do not express an audit opinion thereon.

Our responsibility is to read the strategic report and the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the strategic report and the directors' report;
- in our opinion the information given in those reports for the financial year is consistent with the financial statements; and
- in our opinion those reports have been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 9, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

K Tasker

Karen Tasker (Senior Statutory Auditor)
for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
Challenge House
Sherwood Drive
Milton Keynes
MK3 6DP

Date: 15 December 2022.

MERCEDES-BENZ CARS UK LIMITED

INCOME STATEMENT

FOR THE YEAR ENDED 31 DECEMBER 2021

	Notes	2021 £ 000's	2020 £ 000's
Revenue	4	**3,241,653**	3,628,434
Cost of sales		**(3,009,334)**	(3,412,984)
Gross profit		**232,319**	215,450
Distribution costs		**(22,608)**	(15,989)
Administrative expenses		**(151,244)**	(156,008)
Other operating income		**3,002**	33,176
Operating profit	5	**61,469**	76,629
Investment income	10	**7,911**	1,150
Finance costs	11	**(1,889)**	(5,657)
Profit before taxation		**67,491**	72,122
Tax on profit	12	**(14,280)**	(13,225)
Profit for the financial year		**53,211**	58,897
Other comprehensive income:			
Items that will not be reclassified to profit or loss			
Actuarial gain/(loss) on defined benefit pension schemes	23	**36,569**	(12,867)
Tax related to actuarial gain on defined benefit pension scheme		**(9,142)**	2,445
Total items that will not be reclassified to profit or loss		**27,427**	(10,422)
Total comprehensive income for the year		**80,638**	48,475

The income statement has been prepared on the basis that all operations are continuing operations.

The accompanying notes form a part of the Financial Statements.

MERCEDES-BENZ CARS UK LIMITED

STATEMENT OF FINANCIAL POSITION

AS AT 31 DECEMBER 2021

	Notes	2021 £ 000's	2020 £ 000's
Non-current assets			
Property, plant and equipment	13	**330,202**	307,931
Retirement benefit surplus	23	**63,996**	27,081
Other receivables	16	**-**	6,112
		394,198	341,124
Current assets			
Inventories	15	**286,609**	592,402
Trade and other receivables	16	**623,503**	444,138
Contract assets		**2,754**	2,794
		912,866	1,039,334
Current liabilities			
Contract liabilities	18	**79,439**	166,597
Trade and other payables	20	**654,824**	558,533
Taxation and social security	17	**139,385**	296,029
Deferred income		**18,894**	-
		892,542	1,021,159
Net current assets		**20,324**	18,175
Total assets less current liabilities		**414,522**	359,299
Non-current liabilities			
Contract liabilities	18	**22,476**	44,917
Trade and other payables	20	**68,651**	44,167
		91,127	89,084
Provisions for liabilities			
Deferred tax liabilities	21	**11,598**	2,591
Other provisions	22	**92,610**	129,075
		104,208	131,666
Net assets		**219,187**	138,549

MERCEDES-BENZ CARS UK LIMITED

STATEMENT OF FINANCIAL POSITION (CONTINUED)

AS AT 31 DECEMBER 2021

	Notes	2021 £ 000's	2020 £ 000's
Equity			
Called up share capital	**24**	**50,000**	50,000
Pension reserves	**23**	**48,809**	21,382
Retained earnings		**120,378**	67,167
Total equity		**219,187**	138,549

The financial statements were approved by the board of directors and authorised for issue on .15/12/2022......... and are signed on its behalf by:

H. Henn
....
Dr Harald Henn
Director
Date.15/12/2022......

Company Registration No. 02448457

The accompanying notes form part of the Financial Statements.

MERCEDES-BENZ CARS UK LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 31 DECEMBER 2021

	Notes	Share capital £ 000's	Pension reserve £ 000's	Retained earnings £ 000's	Total £ 000's
Balance at 1 January 2020		50,000	31,804	96,770	178,574
Year ended 31 December 2020:					
Profit for the year		-	-	58,897	58,897
Other comprehensive income:					
Actuarial losses on defined benefit plans		-	(12,867)	-	(12,867)
Tax relating to other comprehensive income		-	2,445	-	2,445
Total comprehensive income for the year		-	(10,422)	58,897	48,475
Dividends		-	-	(88,500)	(88,500)
Balance at 31 December 2020		50,000	21,382	67,167	138,549
Year ended 31 December 2021:					
Profit for the year		-	-	53,211	53,211
Other comprehensive income:					
Actuarial gains on defined benefit plans		-	36,569	-	36,569
Tax relating to other comprehensive income		-	(9,142)	-	(9,142)
Total comprehensive income for the year		-	27,427	53,211	80,638
Balance at 31 December 2021		**50,000**	**48,809**	**120,378**	**219,187**

The statement of changes in equity has been prepared on the basis that all operations are continuing operations.

The accompanying notes form a part of the Financial Statements.

1 Adoption of new and revised standards and changes in accounting policies

A number of new standards, interpretations, and amendments to existing standards are effective for periods commencing on or after 1 January 2021 and have not been applied in preparing the financial statements. The Company's assessment of the impact of these new standards and interpretations is set out below.

Effective 1 January 2022, Annual Improvements to IFRS Standards 2018-2020 amendments:
IFRS 1 has been amended permits a subsidiary that applies paragraph D16(a) of IFRS 1 to measure cumulative translation differences using the amounts reported by its parent, based on the parent's date of transition to IFRS.
IFRS 9 has been amended to clarify which fees an entity includes when it applies the '10 per cent' test in paragraph B3.3.6 of IFRS 9 in assessing whether to derecognise a financial liability. An entity includes only fees paid or received between the entity (the borrower) and the lender, including fees paid or received by either the entity or the lender on the other's behalf.
IAS 41 the amendment removes the requirement in paragraph 22 of IAS 41 for entities to exclude taxation cash flows when measuring the fair value of a biological asset using a present value technique. This will ensure consistency with the requirements in IFRS 13.
The Company does not expect this amendment will have a material impact on its financial statements.

Effective 1 January 2022, IAS 16 has been amended to clarify proceeds from selling items produced while bringing an asset into the location and condition necessary for it to be capable of operating in the manner intended by the Company. The Company does not expect this amendment will have a material impact on its financial statements.

Effective 1 January 2022, IAS 37 has been amended to clarify costs a company should include as the cost of fulfilling a contract when assessing whether a contract is onerous. The Company does not expect this amendment will have a material impact on its financial statements.

Effective 1 January 2023, IAS 1 has been amended to clarify that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date. In addition there are amendments that are intended to help preparers in deciding which accounting policies to disclose in their financial statements. The Company does not expect this amendment will have a material impact on its financial statements.

Effective 1 January 2023, the definition of accounting estimates has been amended as an amendment to IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors. The amendments clarify how companies should distinguish changes in accounting policies from changes in accounting estimates. This amendment is not expected to have an impact on the Company's financial statements.

Effective 1 January 2023, IFRS 17 will replace the currently applicable IFRS 4. It establishes more transparency and comparability with regard to the recognition, measurement, presentation and disclosure of insurance contracts with the insurer. The Company does not expect this amendment will have a material impact on its financial statements.

No other new standards, interpretations, or amendments are applicable to the Company's financial statements and therefore will not have an impact on the Company.

2 Accounting policies

2.1 Accounting convention

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101"). In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of UK-adopted international accounting standards [("Adopted IFRSs")], but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken.

The financial statements have been prepared on the historical cost basis. The principal accounting policies adopted are set out below.

The Company has taken advantage of the following disclosure exemptions under FRS 101:

- the requirements of IFRS 7 Financial Instruments: Disclosures;
- the requirements of paragraphs 91-99 of IFRS 13 Fair Value Measurement;
- the requirement in paragraph 38 of IAS 1 'Presentation of Financial Statements' to present comparative information in respect of: (i) paragraph 79(a) (iv) of IAS 1, (ii) paragraph 73(e) of IAS 16 Property Plant and Equipment;
- the requirements of paragraphs 10(d), 10(f), 16, 38A to 38D, 39 to 40 ,111 and 134-136 of IAS 1 Presentation of Financial Statements;
- the requirements of IAS 7 Statement of Cash Flows;
- the requirements of paragraphs 30 and 31 of IAS 8 Accounting Policies, Changes in Accounting Estimates and Errors;
- the requirements of paragraph 17 of IAS 24 Related Party Disclosures;
- the requirements in IAS 24 Related Party Disclosures to disclose related party transactions entered into between two or more members of a group, provided that any subsidiary which is a party to the transaction is wholly owned by such a member ; and
- the requirements of paragraphs 134(d)-134(f) and 135(c)-135(e) of IAS 36 Impairment of Assets.

As permitted by FRS 101, the Company has taken advantage of the disclosure exemptions available under that standard in relation to share based payments, financial instruments, capital management, presentation of a cash flow statement, presentation of comparative information in respect of certain assets, standards not yet effective, impairment of assets, business combinations, discontinued operations and related party transactions.

The Company has taken advantage of the exemption from consolidation of its subsidiaries, on the basis that they are consolidated at a higher level, in the group accounts of Mercedes-Benz Aktiengesellschaft ("Mercedes-Benz AG") incorporated in Germany. The group accounts of Mercedes-Benz AG are available to the public and can be obtained as set out in note 27.
Where required, equivalent disclosures are also provided in the group accounts of Mercedes-Benz AG.

2 Accounting policies **(Continued)**

2.2 Going concern

The Company's business activities, together with any factors likely to affect its future development and position, are set out in the Business Review section of the Strategic Report on Pages 1-6.

The financial statements have been prepared on a going concern basis which the directors consider to be appropriate for the following reasons.

The directors have prepared cash flow forecasts for a period of at least 12 months after the date of the approval of the financial statements which indicate that, taking account of severe but plausible downsides, the company will have sufficient funds, through the cash pooling arrangement, and in downside cases funding from its ultimate parent company, to meet its liabilities as they fall due for that period. This funding is available to all Mercedes-Benz Group Companies to ensure they have access to funds sufficient to meet their payment obligations as per the Mercedes-Benz Group AG Capital Structure Policy. All funding for the Company is internal and is available pursuant to the terms of the Capital Structure Policy as long as Mercedes-Benz AG remains in control of the Company.

Cash flow forecasts covering the going concern assessment period were amended to consider two scenarios impacting the 2022 and 2023 financial year ends. At the time of preparation, this included a scenario with business impacts due to continued semi conductor shortages restricting 2023 sales. The cash flow forecasts used were based on the trading experience of the entity based on the production decreases through 2020 & 2021. These forecasts along with the approach taken by the directors were shared with the Group who were satisfied with the approach taken by the directors with the conclusion that the entity has sufficient funding within the existing cash pooling agreement and funding from its ultimate parent company to meet its cash flow requirements for the period.

Those forecasts are dependent on Mercedes-Benz AG continuing to offer the cash pooling facility as described above along with currently available borrowings being extended as required. As with any company placing reliance on other group entities for financial support, the directors acknowledge that there can be no certainty that this support will continue although, at the date of approval of these financial statements, they have no reason to believe that it will not do so. In forming their conclusion, the directors have made appropriate inquiries of the parent company and have not identified any matters which impact its conclusions regarding the ability of the company to continue as a going concern.

Consequently, the directors are confident that the Company has sufficient funds to continue to meet its liabilities as they fall due for at least 12 months from the date of approval of the financial statements and therefore have prepared the financial statements on a going concern basis.

2 Accounting policies **(Continued)**

2.3 Revenue

Revenue is measured at the fair value of the consideration received or receivable, and represents amounts receivable for goods supplied, stated net of discounts, returns and value added taxes. The Company recognises revenue when performance obligations have been satisfied and for the Company this is when the goods or services have transferred to the customer and the customer has control of these. The Company's activities are described in detail below. The Company bases its estimate of return on both historical and forecasted results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

The Company makes sales under sale and repurchase arrangements where it directly provides certain *customers with the option to sell the vehicle to the Company at a guaranteed price at a point in the future* as stipulated in the sale contract. The customers to which the Company makes these sales include daily rental fleets, corporate customers and employees in the car ownership scheme. Such sales are treated as operating leases with the associated revenue and cost being spread over the lifetime of the contract. The Company's continuing interest in these vehicles is recorded within fixed assets and a liability is recognised representing the future commitment to repurchase the vehicle.

The Company also underwrites the guaranteed buyback price on certain vehicles that have already been sold to another group Company via the process referred to below. At the point of sale it cannot be determined whether or not these vehicles will be sold to the ultimate customer with a guaranteed buyback commitment and as such revenue is recognised on transfer of title to the other group Company.

All other new vehicles are sold via the floorplan financing arrangement. The vehicles are sold to another group Company and are either consigned to the dealer network on a stocking plan or sold via various financing arrangements to non-dealer customers. Revenue on these sales is recognised when title is transferred to the other group Company.

Turnover is recognised on the sale of used vehicles at the point of delivery of the vehicle to the end customer.

Turnover is recognised on the sale of spare parts when the Company has passed the principal risks and rewards of ownership to the customer. This is generally considered to be at the point of dispatch. The amount of revenue recognised for spare parts is adjusted for expected returns, which are estimated based on the historical data for specific part types, adjusted as necessary to estimate returns for new models. The validity of the estimated amount of returns are reassessed at each reporting date. Therefore, a refund liability (included in trade and other payables) and a right to a refund on the returned goods (included in other current assets) are recognised for the products expected to be returned.

Turnover from repair and maintenance contracts represents the value of services provided under these contracts to the extent that there is a right to consideration and is recorded at the value of the consideration due. Where a contract has only been partially completed at the Balance Sheet date turnover represents the value of the service provided to date based on a proportion of the total contract value. Revenue not recognised as turnover is recorded as Deferred Income and included as part of Creditors.

Revenue from contracts for the provision of professional services is recognised by reference to the stage of completion when the stage of completion, costs incurred and costs to complete can be estimated reliably. The stage of completion is calculated by comparing costs incurred, mainly in relation to contractual hourly staff rates and materials, as a proportion of total costs. Where the outcome cannot be estimated reliably, revenue is recognised only to the extent of the expenses recognised that are recoverable.

2 Accounting policies **(Continued)**

2.4 Property, plant and equipment

Property, plant and equipment are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Freehold land and buildings	4%
Leasehold improvements	
Leases over 25 years	4%
Leases under 25 years	Straight line over remaining life of lease term
Plant, machinery and vehicles	20%

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is recognised in the income statement.

2.5 **Investments in subsidiaries are measured at cost less accumulated impairment.**

Interests in subsidiaries, associates and jointly controlled entities are initially measured at cost and subsequently measured at cost less any accumulated impairment losses. The investments are assessed for impairment at each reporting date and any impairment losses or reversals of impairment losses are recognised immediately in profit or loss.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

2.6 Inventories

Stocks are stated at the lower of cost and net realisable value, being the estimated selling price less costs to complete and sell. Cost is based on the cost of purchase on a first in, first out basis. Work in progress and finished goods include labour and attributable overheads.

At each reporting date, stocks are assessed for impairment. If stock is impaired, the carrying amount is reduced to its selling price less costs to complete and sell. The impairment loss is recognised immediately in profit or loss.

Net realisable value is the estimated selling price less all estimated costs of completion and costs to be incurred in marketing, selling and distribution.

2 Accounting policies **(Continued)**

2.7 *Fair value measurement*

IFRS 13 establishes a single source of guidance for all fair value measurements. IFRS 13 does not change when an entity is required to use fair value, but rather provides guidance on how to measure fair value under IFRS when fair value is required or permitted. The Company is exempt under FRS 101 from the disclosure requirements of IFRS 13.

2.8 Cash and cash equivalents

Cash is represented by cash in hand and deposits with financial institutions repayable without penalty on notice of not more than 24 hours. Cash equivalents are highly liquid investments that mature in no more than three months from the date of acquisition and that are readily convertible to known amounts of cash with insignificant risk of change in value.

2.9 Financial assets

Short term debtors are measured at transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment.

2.10 Loans and receivables

Trade receivables, loans and other receivables that have fixed or determinable payments that are not quoted in an active market are classified as 'loans and receivables'. Loans and receivables are measured at amortised cost using the effective interest method, less any impairment.

Interest is recognised by applying the effective interest rate, except for short-term receivables when the recognition of interest would be immaterial. The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating the interest income over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash receipts through the expected life of the debt instrument to the net carrying amount on initial recognition.

Expected credit losses

Financial assets, other than those at FVTPL, are assessed for indicators of impairment at each reporting end date.

Lifetime expected credit losses are the expected credit losses that result from all possible default events over the expected life of a financial instrument.

12-month expected credit losses are the portion of expected credit losses that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating expected credit losses is the maximum contractual period over which the Company is exposed to credit risk.

Measurement of Expected credit losses

Expected credit losses are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive). Expected credit losses are discounted at the effective interest rate of the financial asset.

Derecognition of financial assets

Financial assets are derecognised only when the contractual rights to the cash flows from the asset expire, or when it transfers the financial asset and substantially all the risks and rewards of ownership to another entity.

2 Accounting policies **(Continued)**

2.11 Financial liabilities

Creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers.

Creditors are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

Other financial liabilities

Other financial liabilities, including borrowings, are initially measured at fair value, net of transaction costs. They are subsequently measured at amortised cost using the effective interest method, with interest expense recognised on an effective yield basis.

The effective interest method is a method of calculating the amortised cost of a financial liability and of allocating interest expense over the relevant period. The effective interest rate is the rate that exactly discounts estimated future cash payments through the expected life of the financial liability to the net carrying amount on initial recognition.

Derecognition of financial liabilities

Financial liabilities are derecognised when, and only when, the Company's obligations are discharged, cancelled, or they expire.

2.12 Equity instruments

Equity instruments issued by the Company are recorded at the proceeds received, net of direct issue costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the Company.

2.13 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the income statement because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

2 Accounting policies **(Continued)**

Deferred tax

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit, and is accounted for using the balance sheet liability method. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from goodwill or from the initial recognition of other assets and liabilities in a transaction that affects neither the tax profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the income statement, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset when the Company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

2.14 Provisions

Provisions are recognised when the Company has a legal or constructive present obligation as a result of a past event and it is probable that the Company will be required to settle that obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting end date, taking into account the risks and uncertainties surrounding the obligation. Where a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows.

When some or all of the economic benefits required to settle a provision are expected to be recovered from a third party, a receivable is recognised as an asset if it is virtually certain that reimbursement will be received and the amount of the receivable can be measured reliably.

2.15 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of inventories or non-current assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the Company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

2 Accounting policies **(Continued)**

2.16 Retirement benefits

Payments to defined contribution retirement benefit schemes are charged as an expense as they fall due.

The cost of providing benefits under defined benefit plans is determined separately for each plan using the projected unit credit method, and is based on actuarial advice.

Defined benefit plans

A defined benefit plan is a post-employment benefit plan other than a defined contribution plan. The Company's net obligation in respect of defined benefit pension plan is calculated by estimating the amount of future benefit that employees have earned in return for their service in the current and prior periods; that benefit is discounted to determine its present value, and the fair value of any plan assets (at bid price) are deducted. The Company determines the net interest on the net defined benefit asset for the period by applying the discount rate used to measure the defined benefit obligation at the beginning of the annual period to the net defined benefit asset.

The discount rate is the yield at the reporting date on bonds that have a credit rating of at least AA that have maturity dates approximating the terms of the Company's obligations and that are denominated in the currency in which the benefits are expected to be paid.

Remeasurements arising from defined benefit plans comprise actuarial gains and losses, the return on plan assets (excluding interest) and the effect of the asset ceiling (if any, excluding interest). The Company recognises them immediately in other comprehensive income and all other expenses related to defined benefit plans in employee benefit expenses in profit or loss.

When the benefits of a plan are changed, or when a plan is curtailed, the portion of the changed benefit related to past service by employees, or the gain or loss on curtailment, is recognised immediately in profit or loss when the plan amendment or curtailment occurs. The Company then calculates the current service cost for the remainder of the reporting period, post the amendment or curtailment, using the same actuarial assumptions as those used to remeasure the net defined benefit asset.

The calculation of the defined benefit obligations is performed by a qualified actuary using the projected unit credit method. When the calculation results in a benefit to the Company, the recognised asset is limited to the present value of benefits available in the form of any future refunds from the plan or reductions in future contributions and takes into account the adverse effect of any minimum funding requirements.

The Company recognises gains and losses on the settlement of a defined benefit plan when the settlement occurs. The gain or loss on a settlement is the difference between the present value of the defined benefit obligation being settled as determined on the date of settlement and the settlement price, including any plan assets transferred and any payments made directly by the Company in connection with the settlement, ignoring the effect of the asset ceiling that is reversed separately through OCI.

The Company's employees are members of a group wide defined benefit pension plan, The Company is the sponsoring employer of a group wide defined benefit pension plan. The net defined benefit cost of the plan is charged to participating entities on the following basis: number of active members. There are no further contributions payable as the scheme was closed in 2021.

2 Accounting policies **(Continued)**

Effects of group deconsolidation

On 30 November 2021, Daimler Truck AG and its subsidiaries, including Mercedes-Benz Trucks UK Limited (MBT), left the Mercedes-Benz group and was no longer a participating employer in the defined benefit (DB) multi-employer pension scheme. On 1 December 2021 a Framework Agreement was entered into between MBT and Mercedes-Benz Cars UK Limited (MBC) and the pension Trustees whereby MBT could defer settlement of the S75 Debt to 30 September 2022 and this would only be payable if MBT had not established their own DB scheme to take on their share of assets and liabilities by this date. As sponsoring employer of the multi-employer DB pension scheme, MBC made an accounting policy choice to take on the pension assets and liabilities of MBT at the date of MBT's de-participation from the scheme. The associated surplus was subject to an asset ceiling as MBC did not have an unconditional right to the surplus as a result of the terms of the Framework Agreement entered into.

As MBC is the main sponsoring entity, and can takes on this responsibility as part of that role and MBC was originally MBUK, where all the balances sat before legal entity splits, and already retains the assets and liabilities of all pre-legal entity split retirees of all business sectors. The other entities in the scheme purely hold their own balances.

It has been decided by Management that MBC would recognise the full MBT balances.

Short-term benefits
Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided. A liability is recognised for the amount expected to be paid under short-term cash bonus or profit-sharing plans if the Company has a present legal or constructive obligation to pay this amount as a result of past service provided by the employee and the obligation can be estimated reliably.

Termination benefits
Termination benefits are recognised as an expense when the Company is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense if the Company has made an offer of voluntary redundancy, it is probably that the offer will be accepted, and the number of acceptances can be estimated reliably. If benefits are payable more than 12 months after the reporting date, then they are discounted to their present value.

The net interest element is determined by multiplying the net defined benefit liability by the discount rate, taking into account any changes in the net defined benefit liability during the period as a result of contribution and benefit payments. The net interest is recognised in profit or loss as other finance revenue or cost.

Remeasurement changes comprise actuarial gains and losses, the effect of the asset ceiling and the return on the net defined benefit liability excluding amounts included in net interest. These are recognised immediately in other comprehensive income in the period in which they occur and are not reclassified to profit and loss in subsequent periods.

The net defined benefit pension asset or liability in the balance sheet comprises the total for each plan of the present value of the defined benefit obligation (using a discount rate based on high quality corporate bonds), less the fair value of plan assets out of which the obligations are to be settled directly. Fair value is based on market price information, and in the case of quoted securities is the published bid price. The value of a net pension benefit asset is limited to the amount that may be recovered either through reduced contributions or agreed refunds from the scheme.

2 Accounting policies **(Continued)**

2.17 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

A lease is identified as a contract, or a part of a contract, that conveys the right to use an asset (the underlying asset) for a period of time in exchange for consideration.

Under IFRS16 Leases, the Company recognises a right of use asset and a lease liability in the Statement of Financial Position for for all operating leases. The right of use asset is initially measured at cost, comprising of the initial amount of the lease adjusted for any accruals/prepayments made before the commencement date.

The right of use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term, as this is expected to be less than the useful life of the asset. The estimated useful life is determined on the same basis as property plant and equipment.

The lease liability is initially measured at present value of the lease payments that are not paid at commencement date, discounted using the incremental borrowing rate. Lease payments relate to rental payments.

The lease liability is measured at amortised cost using the effective interest method. It will be re-measured if the Company elects to change it's stance on early termination.

The incremental borrowing rate is determined based on a combination of calculated risk-free interest rates and risk premiums, combined to give an incremental borrowing cost. There is then a duration adjustment to align more closely with the cash flow pattern of an annuity.

A short-term lease is any lease agreement of 12 months or less. There is no requirement to recognise a right of use asset or liability for a short-term lease. The Company has one short-term lease, the treatment of which is to recognise the consideration for rental payments as an expense through Profit and Loss.

If a significant event or change in circumstances that affects the lease term or the lease payments occurs, that is within the control of the Company, then the present value of the lease liability is re-measured using the revised terms and payments. The right of use asset is also adjusted based off the revised payment schedule. Any gain or loss recognised is then recognised through profit and loss.

3 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Key sources of estimation uncertainty

Pensions and similar obligations

The calculation of provisions for pensions and similar obligations and the related pension cost are based on various actuarial valuations. The calculations are subject to various assumptions on matters such as current actuarially developed probabilities (e.g. discount factors and cost-of-living increases), future fluctuations with regard to age and period of service, and experience with the probability of occurrence of pension payments, annuities or lump sums. As a result of changed market or economic conditions, the probabilities on which the influencing factors are based, may differ from current developments. The financial effects of deviations of the main factors are calculated with the use of sensitivity analyses. See Note 21 for further information.

Residual Values

The Company regularly checks the buyback value of its leased products. One of the main assumptions required for leased products relates to their residual value since this represents a significant portion of future cash inflows. In order to estimate the level of prices likely to be achieved in the future, the Company incorporates internally available historical data, current market data and forecasts of external institutions into its calculations. To access validity of data sources, continual verification of historical values against actual market performance is reviewed.

4 Revenue

The Company derives all of its turnover and profit before taxation from its main trading activities, as described in the Directors Report. No material sales are made outside the United Kingdom.

	2021	2020
	£ 000's	£ 000's
Revenue analysed by class of business		
Revenue from the sale of goods	**3,118,511**	3,482,178
Revenue from services	**123,142**	146,256
	3,241,653	3,628,434

	2021	2020
	£ 000's	£ 000's
Timing of transfer of goods and services		
Products and services transferred at a point in time	**3,156,929**	3,550,985
Products and services transferred over time	**84,724**	77,449
	3,241,653	3,628,434

5 Operating profit

	2021	2020
	£ 000's	£ 000's
Operating profit for the year is stated after charging/(crediting):		
Depreciation of property, plant and equipment	**29,952**	68,985
Operating lease rentals	**3,372**	2,909
VAT refund	**-**	(31,846)

A VAT refund is included in other operating income in 2020 that relates to a refund from HMRC following the conclusion of the Elida Gibbs case, and a subsequent release from the balance sheet following the judgement.

6 Auditor's remuneration

	2021	2020
Fees payable to the Company's auditor and associates:	£ 000's	£ 000's
For audit services		
Audit of the financial statements of the company	**149**	156

7 Employees

The average monthly number of persons (including directors) employed by the Company during the year was:

	2021	2020
	Number	Number
Administration staff	**403**	444
Management staff	**44**	45
	447	489

Their aggregate remuneration comprised:

	2021	2020
	£ 000's	£ 000's
Wages & salaries	**21,364**	23,139
Social security costs	**2,339**	2,438
Pension costs	**1,363**	1,158
	25,066	26,735

8 Directors' remuneration

	2021 £ 000's	2020 £ 000's
Directors' emoluments	**923**	682
Directors' gains on long term incentive plans	**99**	94
	1,022	776

During the year 2021, 2 directors, including the highest paid director (2020: 2 directors, including the highest paid director) received shares under long-term incentive schemes toatlling £99,000 (2020: £94,000).

During the year 2021, benefits were accruing to no directors (2020: 0 directors) in respect of defined contribution pension schemes totalling nil (2020: nil).

Remuneration disclosed above include the following amounts paid to the highest paid director:	2021 £ 000's	2020 £ 000's
Remuneration	**556**	341
Long term incentive schemes (other than shares and share options)	**72**	70
	628	411

9 Amount due from a director

Mercedes-Benz Cars UK Limited operates an interest free loan scheme open to all eligible employees on equal terms to enable such employees to acquire cars for their own use. The amount outstanding at the balance sheet date for 2 directors was £213,100 (2020 for 2 directors £237,675):

	2021 £ 000's	2020 £ 000's
Gary Savage	**168**	153
Harald Henn	**51**	84

10 Investment income

	2021 £ 000's	2020 £ 000's
Interest income		
Interest on the net defined benefit asset	**383**	883
Interest receivable from group companies	**4**	267
Other interest income	**7,524**	-
Total income	**7,911**	1,150

Other interest income represents the release of an accrual for a penalty after confimation from HMRC that after investigation into transfer pricing that the penalty will not be payable and a positive effect of discount unwinding.

11 Finance costs

	2021 £ 000's	2020 £ 000's
Interest payable to group undertakings	**1,889**	2,146
Unwinding of discount on provisions	-	989
Unwinding of discount on leases	-	848
Other interest payable	-	1,674
Total finance costs	**1,889**	5,657

12 Income tax expense

	2021 £ 000's	2020 £ 000's
Current tax		
UK corporation tax on profits for the current period	**13,341**	13,884
Adjustments in respect of prior periods	**1,207**	(526)
Total current tax	**14,548**	13,358
Deferred tax		
Origination and reversal of temporary differences	**(701)**	(272)
Adjustment in respect of prior periods	**433**	139
Total deferred tax	**(268)**	(133)
Total tax charge	**14,280**	13,225

Factors that may affect future tax charges

The main rate of UK Corporation tax for financial year 2021 is 19 per cent, as enacted in the Finance Act 2020. The March 2021 Budget announced that a rate of 25 per cent will apply with effect from 1 April 2023, and this change was substantively enacted on 11 March 2021. The deferred tax in these Financial Statements reflects this. On 23 September 2022 the Chancellor of the Exchequer announced that the corporation tax rate will remain at 19% from 1 April 2023, reversing a previously enacted measure to increase the rate to 25%. This reversal in the tax rate from 1 April 2023 has not been enacted or substantively enacted and accordingly has no impact on the tax balances at 31 December 2021. Impact on deferred tax is material: The potential impact of this change on the deferred tax balances at 31 December 2021 would be £2.6m.

12 Income tax expense **(Continued)**

The charge for the year can be reconciled to the profit per the income statement as follows:

	2021 £ 000's	2020 £ 000's
Profit before taxation	**67,491**	72,122
Expected tax charge based on a corporation tax rate of 19%	**12,823**	13,703
Effect of expenses not deductible in determining taxable profit	**436**	116
Adjustment in respect of prior years	**1,640**	(387)
Effect of change in UK corporation tax rate	**392**	375
Permanent capital allowances in excess of depreciation	**(1,011)**	(865)
Loss on disposal of fixed assets	**-**	283
Taxation charge for the year	**14,280**	13,225

In addition to the amount charged to the income statement, the following amounts relating to tax have been recognised directly in other comprehensive income:

	2021 £ 000's	2020 £ 000's
Deferred tax arising on:		
Actuarial differences recognised as other comprehensive income	**9,142**	(2,445)

13 Property, plant and equipment

	Freehold land and buildings £ 000's	Leasehold improve ments £ 000's	Leases under 25 years £ 000's	Motor vehicles £ 000's	Right of use assets £ 000's	Total £ 000's
Cost						
At 01 January 2021	35,075	9,911	27,725	275,612	18,587	366,910
Additions	2,991	-	2,126	254,106	-	259,223
Disposals	-	-	(953)	(229,887)	-	(230,840)
At 31 December 2021	**38,066**	**9,911**	**28,898**	**299,831**	**18,587**	**395,293**
Accumulated depreciation and impairment						
At 01 January 2021	11,762	3,125	17,098	23,115	3,879	58,979
Charge for the year	1,670	395	2,313	23,619	1,940	29,937
Eliminated on disposal	-	-	(339)	(23,486)	-	(23,825)
At 31 December 2021	**13,432**	**3,520**	**19,072**	**23,248**	**5,819**	**65,091**

13 Property, plant and equipment **(Continued)**

	Freehold land and buildings	Leasehold improve ments	Leases under 25 years	Motor vehicles	Right of use assets	Total
	£ 000's	£ 000's	£ 000's	£ 000's	£ 000's	£ 000's
Carrying amount						
At 31 December 2021	**24,634**	**6,391**	**9,826**	**276,583**	**12,768**	**330,202**
At 01 January 2021	23,313	6,786	10,627	252,497	14,708	307,931

14 Subsidiaries

Details of the Company's subsidiaries at 31 December 2021 and 31 December 2020 are as follows:

Name of undertaking	Registered office	Ownership interest (%)	Voting power held (%)	Nature of business
Mercedes-Benz UK Trustees LIMITED	Delaware Drive, Tongwell, Milton Keynes, England MK15 8BA	100	100	Pension funding
Mercedes-Benz Brooklands Limited	Delaware Drive, Tongwell, Milton Keynes, England, MK15 8BA	100	100	Residents property management
Brooklands Estates Management UK Limited	Delaware Drive, Tongwell, Milton Keynes, England, MK15 8BA	100	100	Residents property Management

Brooklands Estates Management Limited does not have any share capital as it is limited by guarantee. Its controlling party is Mercedes-Benz Cars UK Limited.

15 Inventories

	2021	2020
	£ 000's	£ 000's
Finished goods and goods for resale	**286,609**	592,402

The reversal of write-down of stocks to net realisable value amounted to £47.1m (2020: £4.4m write down). The increase is stock values in 2021 is driven by a strong remarketing enviroment leading to high sales values and so a reduction in write down. Reversal and write-down are included in cost of sales.

The value of stock recognised in cost of sales in the year was £2,717m (2020: £3,189m).

16 Trade and other receivables

	Current		Non-current	
	2021	**2020**	**2021**	**2020**
	£ 000's	**£ 000's**	**£ 000's**	**£ 000's**
Trade receivables	**131,137**	103,609	-	-
Other receivables	-	2,990	-	6,112
Amounts owed by fellow group undertakings	**456,440**	313,868	-	-
Prepayments	**35,926**	23,671	-	-
	623,503	444,138	-	6,112

Trade receivables disclosed above are classified as loans and receivables and are therefore measured at *amortised cost.*

The Non-current receivables in 2020 was Duty receivable from Brussels, due to Brexit duty is now paid to and refunded by HMRC. A streamlined internal process means that this is now expected to be recouped within nine months and is now shown as current receivable.

17 Taxation and social security

	2021	**2020**
	£ 000's	**£ 000's**
Corporation Tax	**47,411**	42,912
VAT	**91,974**	253,118
Total	**139,385**	**296,030**

Decrease in VAT payable relates to deferred VAT from quarter 1 2020 as HMRC offered a payment holiday due to the Corona virus this has now been paid in full.

18 Contract liabilities

	Current		Non-current	
	2021	**2020**	**2021**	**2020**
	£ 000's	**£ 000's**	**£ 000's**	**£ 000's**
Service contract advance payments	**44,629**	17,607	**17,187**	40,500
Dealer discounts and bonuses	**34,810**	148,990	-	-
Connectivity service advance payment	-	-	**2,024**	1,106
Parts to be returned	-	-	**3,265**	3,311
	79,439	166,597	**22,476**	44,917

19 Leases

The below information represents the balances required by IFRS 16.

	Head Office
Right of use assets	£ 000's
Balance as at 1 January 2021	14,708
Depreciation charge for the year	(1,940)
Balance as at 31 December 2021	**12,768**

Lease liabilities as at 31 December 2021	
Current	1,924
Non-Current	11,118
	13,042

Amounts recognised in Profit and Loss

Interest expense on lease liabilities	308
Depreciation charged on the Right of Use asset	1,940
	2,248

20 Trade and other payables

	Current		Non-current	
	2021	**2020**	**2021**	**2020**
	£ 000's	**£ 000's**	**£ 000's**	**£ 000's**
Trade payables	**26,338**	32,714	-	-
Amounts due to group undertakings	**268,610**	150,398	-	-
Accruals and deferred income	**102,472**	105,289	**6,962**	1,453
Liabilities for future repurchase commitments	**250,569**	261,001	**48,854**	29,363
Other payables	**6,835**	9,131	**12,835**	13,351
	654,824	558,533	**68,651**	44,167

21 Deferred taxation

The following are the major deferred tax liabilities and assets recognised by the Company and movements thereon during the current and prior reporting period.

	Deferred taxation £ 000's
Deferred tax liability at 1 January 2020	(5,076)
Deferred tax movements in prior year:	
Debit to profit or loss - Other	37
Debit to other comprehensive income - Pension	2,448
Deferred tax liability at 1 January 2021	**(2,591)**
Thereof;	
Pension	(4,467)
Other	1,876
	(2,591)
Deferred tax movements in current year:	
Credit to profit or loss - Pension	**(9,148)**
Debit to other comprehensive income - Pension	**141**
Deferred tax liability at 31 December 2021	**(11,598)**
Thereof;	
Pension	**(13,615)**
Other	**2,017**
	(11,598)

22 Provisions for liabilities

	Provision for sale & repurchase agreements	Provision for warranty	Provision for repair & maintenance contracts	Other provisions	Total
	£ 000's	£ 000's	£ 000's	£ 000's	£ 000's
At 1 January 2021	41,261	44,889	1,795	41,130	129,075
Additional provisions in the year	63,163	11,228	7,509	3,196	85,096
Utilisation of provision	(66,530)	(23,800)	(1,801)	(27,987)	(120,118)
Effect of discounting	(635)	(808)	-	-	(1,443)
At 31 December 2021	37,259	31,509	7,503	16,339	92,610

Provision for sale and repurchase agreements represents the expected losses to be incurred on vehicles for which we have a buyback agreement and the agreed repurchase price is no longer representative of the market value of those vehicles. The provision is utilised in line with the relevant contract end dates and is calculated using the current market value of the vehicles. Disclosing material future changes due to changing assumptions is impractical and immaterial owing to the machine learning tool that sets future market values. The model is a backward looking tool that forecasts future values based on historical trends and provides a future sales value which cannot be manipulated. The only manually amended items would be a valuation and market conditions of an expected future event that the tool would have no historical data to predict. There is also no reasonable change that could result in material misstatement.

Provision for warranty represents the cost of fulfilling the three year warranty offered to all customers on the purchase of a new vehicle, where the manfacturer covers the first two years and the Company covers the third due to market expectations. The provision is calculated using past claim data and the three-year vehicle parc to assess our future obligations and is utilised as valid claims are paid.

Provision for repair and maintenance contracts represents the losses expected to be made on some service contracts where costs have been incurred which won't be fully covered by the sale of the contract itself. The provision is calculated using standard cost curves to create an expectation of remaining costs to the business on an individual contract level, and is utilised in line with those losses being incurred.

Other provisions relate to two topics, VAT & benefit in kind owed to HMRC where the Company is in communication in an attempt to resolve the matter, calculated on their most recent estimates of amounts due. Secondly service measures where corrective modifications customer vehicles may be required, calculated based on an estimate of costs and affected vehicle numbers.

23 Retirement benefit schemes

Defined contribution schemes

The Company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the Company in an independently administered fund.

The total costs charged to the profit and loss in respect of defined contribution plans is £137,700 (2020: £400,807 income). There are no outstanding contributions at the statement of financial position date (2020: nil).

23 Retirement benefit schemes **(Continued)**

Defined benefit scheme

The Company operates a defined benefit scheme for qualifying employees. The scheme includes Mercedes-Benz Vans UK Limited, Mercedes-Benz Parts Logistics UK Limited & Mercedes-Benz Retail Group UK Limited as participating employers with the Company being the "principal employer" of the scheme. The assets and liabilities are distributed between the entities with agreed allocations set by the qualified actuary.

The pension scheme is compliant with the relevant actuarial standards in force published by the Financial Reporting Council.

Under the schemes, the employees are entitled to retirement benefits linked to final salary on reaching retirement age. No other post-retirement benefits are provided.

The schemes are funded multi-employer schemes for which the Company is considered to be the Sponsoring Employer. The assets of the schemes are held separately from those of the Company and a qualified actuary, on the basis of annual valuations using the projected unit method, determines contributions to the scheme. The contribution paid by the employer is affected by the existence of any surplus or deficit in the scheme. The contribution payable and charged to the profit and loss account of the participating companies for the year 2020 was £320,000 (2020: £3,887,000), of which £245,000 (2020: £1,161,000) was payable by the Company.

The scheme closed for additional contributions at the start of 2021, so there will be no contributions in the current financial year or in future years.

As the scheme is closed for future accrual the maturity profile of the pension is dependent on when the assets will mature which is based on the retirement ages outlined in the assumptions.

During the coronavirus pandemic the Company's pension asset grew by £23,646,000 from 2019 to 2021. The scheme is run to third party advisers who are managed by the Company. Given the strong asset position £63,996,000 and expectation for an asset position to continue into the future the Company does not foresee any risk to the scheme should another pandemic occur.

During 2021, the trustees of the pension scheme, Mercedes-Benz Cars UK Limited (MBC) and Mercedes-Benz Trucks UK Limited (MBT) signed a Framework Agreement stating that the Trustees would not immediately call for the S75 Debt to be paid due to the split at group level. Instead, the Framework Agreement sets out conditions for MB Trucks to take a transfer of assets and liabilities that relate to members who are currently or were previously employed with MBT.

The most recent actuarial valuations of plan assets and the present value of the defined benefit obligation were carried out at 31 December 2021 by Mercer Limited, qualified actuaries. The present value of the defined benefit obligation, the related current service cost and past service cost were measured using the projected unit credit method.

The trustees responsibilities are disclosed in the Mercedes-Benz Pension scheme accounts that are publicly available.

23 Retirement benefit schemes **(Continued)**

Key assumptions	**2021 %**	**2020 %**
Pension growth rate	**2.90**	2.90
Salary growth rate	**3.25**	3.25
Pre 1997 pension increases	**2.00**	2.00
1997-2006 pension increases	**2.80**	2.80
Post 2006 pension increases	**2.00**	2.00

Mortality assumptions	**2021**	**2020**
Assumed life expectations on retirement at age 65:	**Years**	**Years**
Retiring today		
- Males	**22.8**	22.8
- Females	**24.8**	24.7
Retiring in 20 years:		
- Males	**24.4**	25.0
- Females	**26.5**	26.4

Amounts recognised in the income statement	**2021 £000's**	**2020 £000's**
Current service cost	**765**	2,562
Net interest on defined benefit liability/(asset)	**(382)**	(883)
Total costs/(income)	**383**	1,679

Amounts recognised in other comprehensive income

Actuarial changes arising from changes in demographic assumptions	**(2,398)**	-
Actuarial changes arising from changes in financial assumptions	**(25,062)**	60,815
Actuarial changes related to plan assets	**(9,108)**	(46,986)
Change in accounting policy recognition of assets and liabilities of MBT	**5,437**	-
Change in the effect of the asset ceiling	**(5,437)**	-
Total costs/(income)	**(36,568)**	13,829

23 Retirement benefit schemes **(Continued)**

The amounts included in the statement of financial position arising from the Company's obligations in respect of defined benefit plans are as follows:

	2021 £000's	2020 £000's
Fair value of plan assets	**504,362**	466,090
Present value of defined benefit obligations	**(434,929)**	(439,009)
Effect of asset ceiling	**(5,437)**	-
Surplus in scheme	**63,996**	27,081

Asset ceiling refers to the Mercedes-Benz Trucks UK (MBT) element of the group asset managed by Mercedes-Benz Cars UK (MBC). The surplus recognised as there is a right to refund however MBT's element has been restricted as MBC holds no unconditional right to refund.

Movements in the present value of defined benefit obligations

	2021 £000's	2020 £000's
At the beginning of the year	**439,009**	381,865
Current service cost	**765**	2,562
Benefits paid	**(17,498)**	(13,734)
Contributions from scheme members	**-**	594
Actuarial gains and losses	**(27,460)**	59,853
Interest cost	**6,052**	7,869
MBT liabilities from change in accounting policy	**34,061**	-
At the end of the year	**434,929**	439,009

Movements in the fair value of plan assets:

	2021 £000's	2020 £000's
At the begining of the year	**466,091**	422,215
Interest income	**6,434**	8,752
Return on plan assets (excluding amounts included in net interest)	**9,592**	46,986
Benefits paid	**(17,498)**	(13,734)
Contributions by the employer	**245**	1,278
Contributions by scheme members	**-**	594
MBT asset from change in accounting policy	**39,498**	-
At end of year	**504,362**	466,090

23 Retirement benefit schemes **(Continued)**

Sensitivity of the defined benefit obligations to changes in assumptions

Scheme obligations would have been affected by changes in assumptions as follows:

Whilst the Company considers the methodologies and assumptions adopted in the fair value measurements and sensitivity analysis as supportable, reasonable and robust, because of the inherent uncertainty of valuation, those estimated values may differ significantly, due to market volatility from the values that would have been used, had a ready market for the balances existed and the differences could be significant.

Discount rate +/- 25 basis points	- increase	**413,547**	417,201
	- decrease	**457,909**	462,434
Price inflation rate +/- 10 basis points	- increase	**443,437**	447,595
	- decrease	**426,645**	430,647
Life expectancy +/- 1 year	- increase	**419,967**	422,881
	- decrease	**450,077**	455,359

The fair value of plan assets at the reporting period end was as follows:

Equity instruments	**36,490**	80,946
Debt instruments	**436,491**	374,057
Other	**31,381**	11,087
	504,362	466,090

24 Share capital

	2021	2020
	£ 000's	£ 000's
Ordinary share capital		
Issued and fully paid		
50,000,000 ordinary shares of £1 each	50,000	50,000
	50,000	50,000

25 Events after the reporting date

There were no subsequent events after the balance sheet date.

26 Related party transactions

During the years ending 31 December 2021 and 31 December 2020 the Company had transactions with members of the Mercedes-Benz group which are not wholly owned, these transactions were carried out at arms length:

26 Related party transactions **(Continued)**

Mercedes-Benz Trucks UK Limited

During the year the Company had a income of £404,667 (2020: nil) from Mercedes-Benz Trucks UK Limited, and at the year end a balance of £34,895 was owed to (2020: nil) the Company.

Mercedes-Benz Grand Prix Limited

During the year the Company had a cost of £6,131 (2020: income of £11,954) from Mercedes-Benz Grand Prix Limited, and at the year end a balance of £49,272 was owed to (2020: £4,751 owed to) the Company.

Mercedes-Benz Formula E Limited

During the year the Company had income of £7,290 (2020: income of £7,290) from Mercedes-Benz Formula E Limited, and at the year end a balance of £1,173 was owed to (2020: £5,445) the Company.

L.S.H Autos Limited

During the year the Company had income of £3,295,055 (2020: income of £8,300,789) from L.S.H Autos Limited, and at the year end a balance of £1,249,924 was owed to (2020: £1,050,332 owed to) the Company.

Aston Martin Lagonda

During the year the Company had income of £35,674 (2020: income of £18,327) from Aston Martin Lagonda, and at the year end a balance of £6,309 was owed to (2020: £4,160 owed to) the Company.

27 Controlling party

The Company is a wholly owned subsidiary of Mercedes-Benz Holdings UK Limited. The Company's ultimate parent undertaking and controlling party is Mercedes-Benz Group Aktiengesellschaft, 70372 Stuttgart Germany, which is incorporated in Germany and heads the only group in which the results of the Company are consolidated for statutory purposes. The consolidated accounts of Mercedes-Benz Group Aktiengesellschaft are available to the public and may be obtained from their corporate website.

28 Donations

The Company made charitable donation of £191,164 (2020 £348,193). The Company made nil (2020 nil) political donations.